

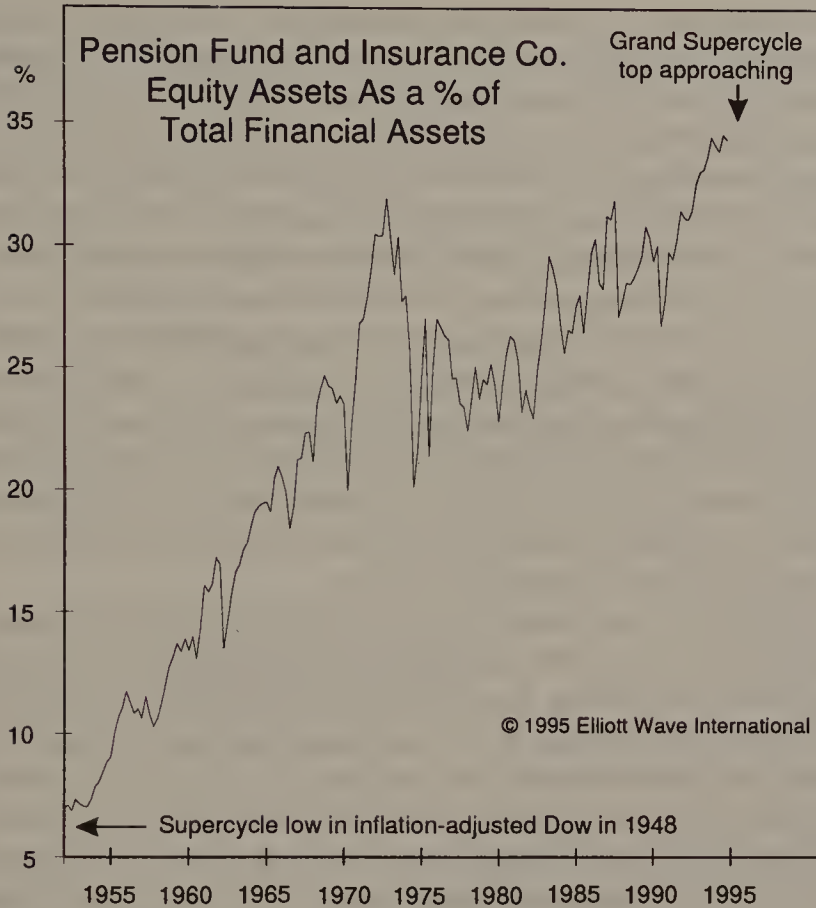


Figure 11-13

major commitment to futures trading in 1987, when it allocated \$50m. for the purpose. From that humble beginning, pension funds now have \$1.5 billion allocated to futures trading, much of it in the hands of commodity trading advisers. Thus, even the most historically conservative sector of investors has become willing to speculate in leveraged instruments. Institutions have also purchased countless complex illiquid securities. For instance, they have very recently become heavily involved in “restricted securities,” i.e., stock offerings that cannot be sold to individuals because they are not registered with the SEC. The irony is that in many cases the public indeed owns them, it just does so through the institutional intermediary. Mutual fund managers bought a whopping \$80b. worth of restricted issues in 1991-1993 after the SEC relaxed its rules on their sale. Guess the last time that restricted securities were popular. That’s right, in 1968, right at the top of a heated market preceding a 75% collapse in the average stock over the next six years.